



SUPPLY CHAIN MANAGEMENT



Topic: 9

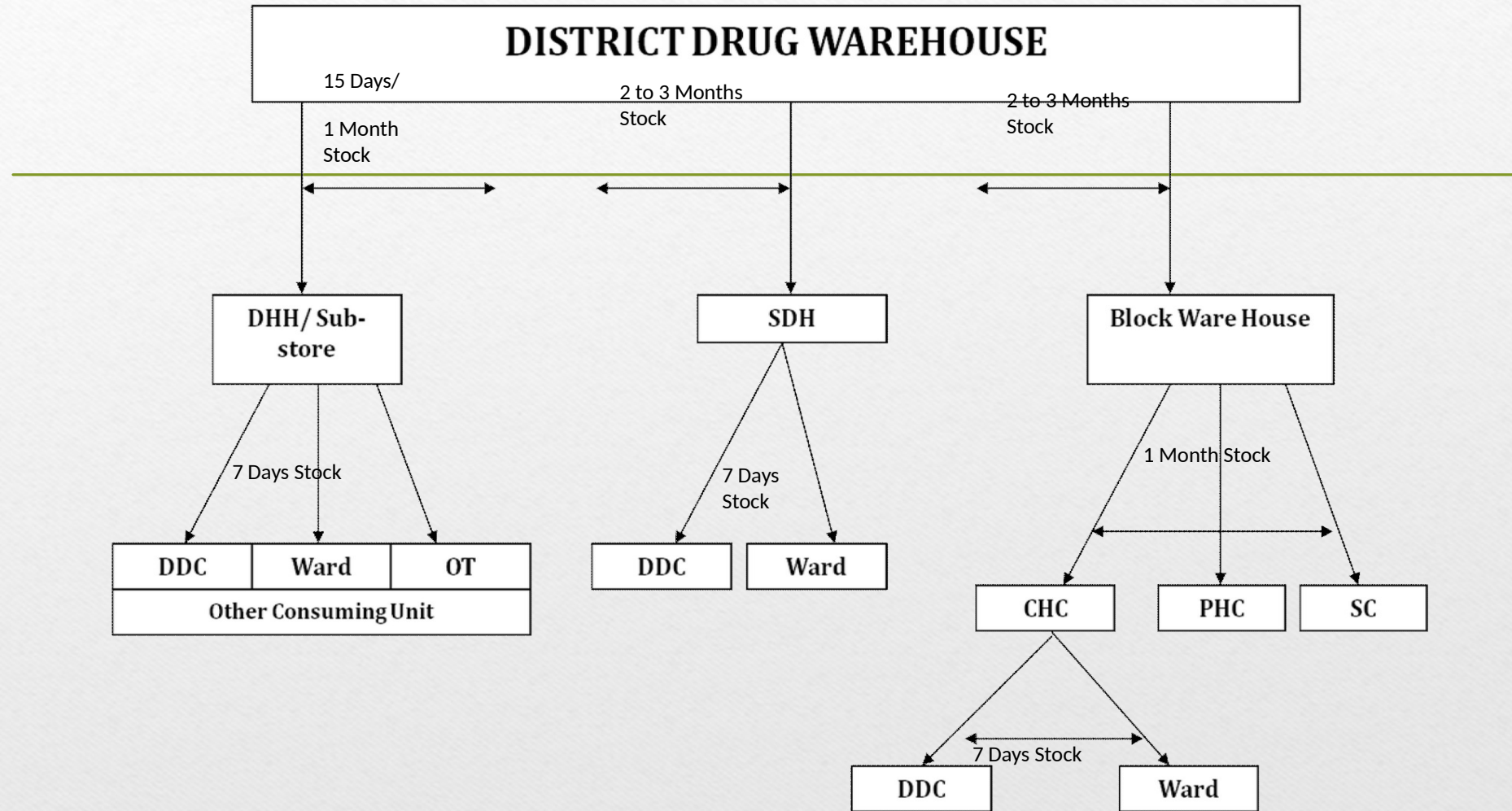
FLOW OF INDENT

- **District:-**

- ❖ PHC, SC will indent to Block CHC.
- ❖ Wards, PPC, DDC to indent Sub-store.
- ❖ OH/AH, CHC/Block CHC, SDH will indent to District DWH.
- ❖ Sub Store to indent District DWH.
- ❖ District DWH will indent to State DWH.

- **Medical College/Major Health Institutions :-**

- ❖ Wards, PPC, DDC to indent Sub-store.
- ❖ Sub Store to indent DWH.



INVENTORY MANAGEMENT

INVENTORY **MANAGEMENT**

- When to indent ?
- What to indent ?
- How much to indent ?
- What should be stocked ?
- Prevention of loss because of time expired drugs.
- Physical stock taking
- Damaged or time expired drugs should be recorded and disposed off

BASIC PRINCIPLE

- ***Right Product***
- ***Right Quantity***
- ***Right Quality***
- ***Right Cost***
- ***Right Place***
- ***Right Time***

Monthly Indent Calendar

- All CHCs, HWCs and PHCs must review stock from 1st-3rd of every month,
- Prepare indents between 1st-5th and
- Submit indents on or before the 7th of every month.
- Indents should be based on Average Monthly Consumption, stock in hand, lead time and safety stock.

INVENTORY MANAGEMENT

Lead Time (LT):

- This is the time between placing of indent and receipt at the Store.

INVENTORY MANAGEMENT

Average Monthly Consumption

- Average monthly consumption can be calculated using the sum of quantities used or distributed over a period of time.

Opening Balance + Stock Received - Closing Stock

- AMC = No. Of Months Stock Available

MONTHLY AVERAGE CONSUMPTION

Ex- Tab. Pantoprazole 40 mg

Consumption:-

Apr il	May	Jun e	July	Aug	Sep t	Oct	Nov	Dec	Jan	Feb	Mar	Tot al Con sum ptio n
100 0	150 0	120 0	130 0	160 0	200 0	150 0	130 0	100 0	120 0	140 0	150 0	165 00

Stock available :-

Apr il	Ma y	Jun e	July	Aug	Sep t	Oct	Nov	Dec	Jan	Feb	Mar	Tot al Con su mpt ion
Yes	Yes	Stoc k Out	Yes	Yes	Yes	Yes	Yes	Stoc k Out	Yes	Yes	Yes	Yes

Avg Monthly Consumption

=

16500/ 10 = 1650 Tabs.

FORECASTING

- What is your projected requirement for a certain drug?
- Previous month/year consumption plus a small percentage to factor annual growth in population.
 - WAIT

FORECASTING

- Did you check if the drug was available throughout the month/year in adequate quantities?
- How many months/days of stock out was noticed?
- To what extent was another item of the same pharmacological category substituted

FORECASTING

- What is the re-order level of an item at Block DWH?

R.O. level = Lead Time + Safety Stock (In Months or days)

- How much to re-order?

R.O. Qty = Avg Monthly Consumption x (LT + SS)

SMART MOVES

- Prompt utilization of near expiry drugs.
- First Expiry First Out (FEFO) principles should be followed to minimize expiry and wastage. Near-expiry products should be identified and redistributed/utilize where possible.
- Utilization of an item with similar group when an item is out of stock.

Ex - Utilization of Tab. Rabeprazole in absence of Tab. Pantoprazole.

Block Drug & Therapeutics Committee (BDTC)

- Review drug consumption and stock position.
- Review stock-outs and near-expiry drugs.
- Monitoring of monthly indent compliance.
- Prescription audit findings.

Composition:

- Block Medical Officer (Chairman & Convener)
- Medical Officers of PHCs
- Store Pharmacy Officer (CHC)
- Block Programme Manager (BPM)

ANNUAL PROCUREMENT PLAN

STEPS INVOLVED IN PREPARATION OF AAP

- Collection
- Compilation
- Rationalisation
- Approval by Drug Therapeutic Committee
- Upload in DVDMS

Activity	Timeline
Review of previous year's consumption data	July - August
Collection of EDL revision suggestions from BDTC/DDTC	August
Facility-wise Annual Indent Preparation (SC/PHC/CHC/SDH/DHH/MCH)	September
Review & Rationalization by BDTC	September
Review & Approval by DDTC/MIDTC/MCDTC	October
Consolidation of District/Institutional Indents	October
Submission of Annual Indents to OSMCL/SDMU	October
Preparation of Draft APP	October - November
Review by State Drug Management Committee (SDMC)	November
Finalization of APP for next Financial Year	By 15th November
Tendering & Procurement Process	November onwards
Supply Planning & Distribution	As per procurement schedule

How to Rationalise Indents

- Simply compare the **indents** placed with that of **average monthly consumption**.
- Discuss for special requirement, if any.
- Patient Load may be taken for analysis.
 - Eg: Inj. ARV = Patient registered for dog bite cases.

Role & Responsibilities of MO I/C

- Ensure uninterrupted drug availability
- Verify monthly stock position
- Monitor FEFO compliance
- Monitor near-expiry drugs
- Conduct monthly review meetings

Role & Responsibilities of Pharmacy Officer

- Maintain stock registers.
- Update receipts and issues in DVDMS
- Generate monthly consumption reports
- Prepare indents based on AMC
- Ensure proper storage conditions